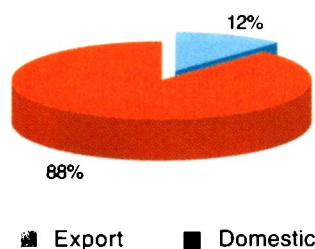




and the benefits flowing from it make meaningful contribution to society, formation of a Trust is being considered. Thrust will be given in the areas of health, education, self employment, technical skills, social infrastructure, etc.

**Domestic Vs Export
of Iron Ore (2006-07)**



The Set Back

While all these commendable works are going on, there have been serious set backs in the Bailadila complex. On Ninth of February 2006, the extremists first attacked the Hiroli magazine of the Bailadila deposit-14 project, killing eight CISF personnel and injuring nine

who were valiantly defending the magazine. Thereafter, there have been several attacks, some of which disrupted the production in the Bailadila sector very badly. The employees at Bailadila have borne the brunt of

these attacks, patiently and carefully. They have put in their best to restore the plant in record time and make up for the shortfall in production. I take this opportunity to place on record the Management's appreciation of the good work done by the employees of Bailadila. On my behalf and on behalf of the Board of Directors of your Company, I wish to reassure you that all possible steps are being taken to ensure that the Bailadila region and its surroundings are safe for the life of the employees and their families and the Company's properties.

Perpetuity of Existence

A Company is created for the perpetuity of its existence. The satisfied group of employees constitutes the backbone. It is they who shoulder the onerous responsibility of taking the Company forward. The synergy they create will help the Company to get

over the stiff competition in the years to come.

Looking Forward

I wrap up reflecting on the progress. In the six decades of Independence, India has advanced a great deal. In the five decades of growth, your Company has evolved into an organization that can stand on its own and surge ahead. Your Company, which has come up with better and better results, year after year, has great strengths. Building upon it further, I am confident, your Company will be counted, before long, as an Indian multinational company.

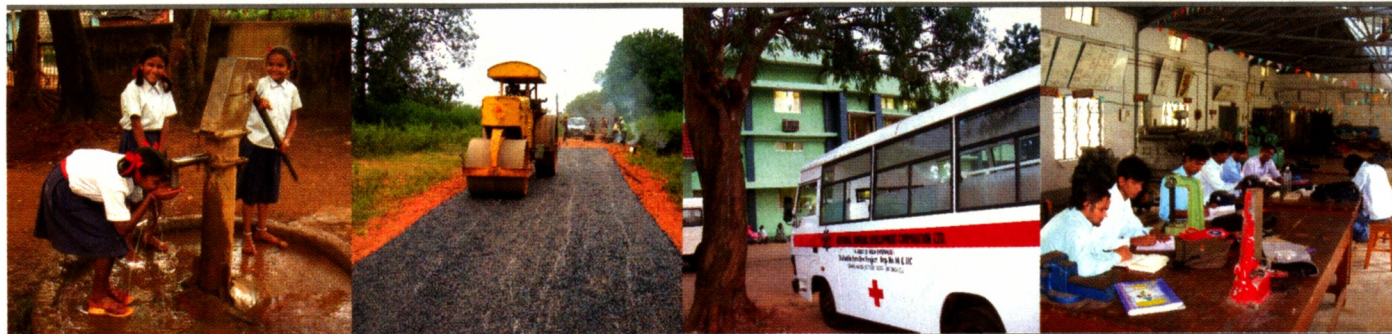


The Management's job is to see the Company not as it is but as it can become. Let us march forward with confidence and determination.

Thank you and Jai Hind!

B. Ramesh Kumar
Chairman-cum-Managing Director

Note : The above statement does not purport to be part of the proceedings at the 49th AGM of NMDC Limited held on 31st August 2007



National Mineral Development Corporation Limited

(A Government of India Enterprise)

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